Class 7 Social Science – Chapter 11: From Barter to Money

CBSE | Exploring Society: India and Beyond, Part 1 | Simple English Notes and Question–Answers

इस अध्याय में वस्तु-विनिमय प्रणाली (Barter System), पैसे की आवश्यकता, पैसे के मुख्य कार्य, प्राचीन भारतीय सिक्के, कागजी मुद्रा और डिजिटल भुगतान के बारे में बताया गया है।

नीचे पुस्तक के सभी 9 अभ्यास प्रश्नों के उत्तर और प्रत्येक मुख्य विषय से महत्वपूर्ण तथा संभावित परीक्षा प्रश्न सरल अंग्रेजी में दिए गए हैं। उत्तर आपकी अपलोड की गई NCERT पुस्तक के पृष्ठ 229–245 पर आधारित हैं।

Part 1: Topic-wise Important Questions and Answers

Topic 1: The Barter System

Q1. What is the barter system?

Answer: The barter system is a way of exchanging goods or services for other goods or services without using money.

Q2. How did people exchange goods before money came into existence?

Answer: People exchanged goods they had for goods they needed. For example, a farmer could exchange wheat for clothes or other useful things.

Q3. What are commodities?

Answer: Commodities are goods or products that can be traded, bought or sold.

Q4. Which commodities were used in the barter system?

Answer: People used cowrie shells, salt, tea, tobacco, cloth, cattle, seeds and other goods for exchange.

Q5. Give an example of the barter system.

Answer: A farmer may exchange wheat with a shopkeeper for clothes. Both exchange goods without using money.

Q6. Is barter still practised today? Give examples.

Answer: Yes, barter is still practised in some places. Examples include exchanging old clothes for utensils, swapping books with friends and exchanging local products at traditional fairs.

Topic 2: Why Do We Need Money?

Q7. Why did people need money?

Answer: People needed money because the barter system had many difficulties. Money made buying and selling easier and faster.

Q8. What is double coincidence of wants?

Answer: Double coincidence of wants is a situation in which two people each have something the other person wants and are willing to exchange it directly.

Example: A farmer wants shoes, and a shoemaker wants wheat. They can exchange their goods if both agree.

Q9. What are the main limitations of the barter system?

Answer: The main limitations are:

1. Double coincidence of wants.
2. Difficulty in comparing the value of different goods.
3. Difficulty in dividing some goods into smaller parts.
4. Difficulty in carrying goods from one place to another.
5. Difficulty in storing perishable goods for a long time.

Q10. What is a common standard measure of value?

Answer: It is an accepted unit used to measure and compare the value of different goods and services. Money performs this function.

Q11. What is divisibility? How is it a problem in barter?

Answer: Divisibility means the ability to divide something into smaller parts. In barter, it may be difficult to divide goods such as an ox into suitable portions for exchange.

Q12. What is portability?

Answer: Portability is the ability to carry something easily from one place to another. Heavy or bulky goods are difficult to carry during barter.

Q13. What is durability?

Answer: Durability is the ability of something to last for a long time without getting damaged or spoiled. Wheat may rot or be eaten by rats, making it difficult to store for long periods.

Q14. How does money solve the problems of barter?

Answer: Money solves many problems of barter because:

- People can sell their goods for money.
- They can use money to buy the goods they need.
- Money helps compare the prices of different products.
- Money is easier to carry than bulky goods.
- Money can be saved and used later.

Topic 3: Basic Functions of Money

Q15. What is money?

Answer: Money is a commonly accepted means of making or receiving payments in exchange for goods and services.

Q16. What is a medium of exchange?

Answer: A medium of exchange is something commonly accepted for buying and selling goods and services. Money acts as a medium of exchange.

Q17. How does money act as a store of value?

Answer: Money can be saved and used to buy goods and services in the future. This makes it a store of value.

Q18. How does money measure the value of goods and services?

Answer: Money expresses the value of goods and services in prices. For example, a book may cost ₹100 and a pencil ₹10. We can easily compare their values.

Q19. What is a standard of deferred payment?

Answer: Money acts as a standard of deferred payment when it is used to make payments at a later date. For example, a person may borrow money and repay it later.

Q20. What would you do if you had ₹50 but the book you wanted cost ₹100?

Answer: I could save another ₹50 and buy the book later. If the shopkeeper agrees, I could also request permission to pay the remaining amount later.

Topic 4: The Journey of Money — From Barter to Coins








बीस रुपये
₹
2020
20
TWENTY RUPEES
पाँच रुपये
₹
2019
5
FIVE RUPEES
दो रुपये
₹
2019
2
TWO RUPEES
2019

Q21. How did money evolve over time?

Answer: Money changed over time. People first exchanged goods through barter. Later, they used commodities such as shells, followed by metal coins, paper currency and digital money.

Q22. What is coinage?

Answer: Coinage is the system of using coins as money. Coins were among the earliest forms of money.

Q23. What is minting?

Answer: Minting is the process of producing coins. A mint is a place where coins are manufactured.

Q24. What metals were used to make ancient Indian coins?

Answer: Ancient Indian coins were made from precious metals such as gold, silver and copper, as well as their alloys.

Q25. What is an alloy?

Answer: An alloy is a metal made by combining two or more metallic elements.

Q26. What were kārṣhāpaṇas or paṇas?

Answer: Kārṣhāpaṇas or paṇas were names used for ancient Indian coins made from metals such as gold, silver and copper.

Q27. What symbols were found on ancient Indian coins?

Answer: Ancient coins had symbols of animals, trees, hills, kings, queens and deities.

Q28. What are the obverse and reverse sides of a coin?

Answer:

- Obverse: The side bearing the head or principal design.
- Reverse: The opposite side of the coin.

Q29. What symbols were found on Chalukya and Chola coins?

Answer: Chalukya coins featured the Varaha avatar of Vishnu and a royal parasol. Some Chola silver coins displayed a tiger emblem.

Q30. What can Roman coins found in Pudukkottai tell us?

Answer: Roman gold coins found in Pudukkottai, Tamil Nadu, show that southern India had trade links with the Roman world. Such findings provide evidence of ancient international trade.

Q31. How did coinage help trade?

Answer: Coins provided a commonly accepted form of payment. They made it easier to compare values and conduct trade between different regions.

Q32. When was the Indian rupee symbol (₹) adopted? Who designed it?

Answer: The Government of India adopted the rupee symbol in 2010. It was designed by Udaya Kumar of IIT Bombay.

Topic 5: Paper Money and Currency

Q33. What is currency?

Answer: Currency is the system of money used in a particular country. Indian rupee coins and notes are examples of Indian currency.

Q34. Why did paper money come into use?

Answer: Carrying and storing large numbers of coins became difficult. Paper money provided a more convenient way to carry and use money.

Q35. Where was paper money first used?

Answer: According to the chapter, paper money was first used in China.

Q36. When was paper currency introduced in India?

Answer: The chapter states that paper currency was introduced in India in the late 18th century.

Q37. What are denominations?

Answer: Denominations are the different units or values in which currency notes and coins are issued, such as ₹10, ₹20, ₹50 and ₹100.

Q38. Who controls the issue of currency in India?

Answer: The Reserve Bank of India (RBI) controls the issue of currency in India, subject to the legal framework governing Indian currency.

Q39. Why are security features used on currency notes?

Answer: Security features help prevent the illegal printing and misuse of currency notes. They also help people identify genuine notes.

Q40. How can visually impaired people identify currency notes?

Answer: Special tactile features, such as raised or textured elements on banknotes, can help visually impaired people identify denominations. The design and features vary across note series.

Topic 6: New Forms of Money — Digital Payments




Pay here



9

Q41. What is digital money?

Answer: Digital money is money in electronic form. It can be used to make payments without exchanging physical coins or notes.

Q42. What is a QR code?

Answer: QR stands for Quick Response. A QR code is a pattern of black and white squares that can be read by devices such as smartphones and QR scanners.

Q43. How does payment through a QR code work?

Answer: A customer scans the seller's QR code using a suitable payment application and authorises the payment. The money is transferred electronically through the payment system.

Q44. What is UPI?

Answer: UPI stands for Unified Payments Interface. It is a system that allows people to make electronic payments between bank accounts using supported payment applications.

Q45. Name four methods of digital payment.

Answer: Debit cards, credit cards, net banking and UPI.

Q46. What are the advantages of digital payments?

Answer:

1. They allow quick electronic payments.
2. People do not always need to carry cash.
3. Payments can be made using supported mobile applications or banking services.
4. Payment records may be available electronically.

Q47. What precautions should we take while making digital payments?

Answer:

1. Never share your PIN, password or OTP.
2. Check the recipient's details before paying.
3. Use trusted payment applications.
4. Do not scan unknown QR codes carelessly.
5. Check the payment confirmation after a transaction.

These are practical safety precautions for modern digital payments.

Q48. Differentiate between cash and digital money.

Cash	Digital Money
It includes physical notes and coins.	It exists in electronic form in payment systems.
It can be handed directly to another person.	It is transferred electronically.
It does not require an electronic device for an ordinary cash payment.	It generally requires a suitable device or banking/payment service.
Physical cash can be lost or stolen.	Digital accounts and devices can also face fraud or security risks.

Part 2: Answers to All Textbook Questions

These answers follow the exercise on pages 244–245 of the chapter.

Q1. How does the barter system take place, and what kinds of commodities were used for exchange?

Answer: The barter system takes place when people exchange goods or services directly without using money. For example, a farmer may exchange wheat for clothes.

People used cowrie shells, salt, tea, tobacco, cloth, cattle, seeds and other commodities for exchange.

Q2. What were the limitations of the barter system?

Answer: The barter system had several limitations:

1. People had to find someone who wanted what they offered.
2. It was difficult to compare the value of different goods.
3. Some goods could not be divided easily.
4. Bulky goods were difficult to carry.
5. Perishable goods could not be stored for a long time.

These problems led to the development of money.

Q3. What were the salient features of ancient Indian coins?

Answer: The main features of ancient Indian coins were:

1. They were made of metals such as gold, silver and copper, including their alloys.
2. Different rulers issued their own coins.
3. Coins had symbols and designs on both sides.
4. The symbols included animals, trees, hills, kings and deities.
5. Powerful rulers' coins were sometimes accepted beyond their own kingdoms.

Q4. How has money as a medium of exchange transformed over time?

Answer: Money has changed through several stages. Initially, people exchanged goods through the barter system. Later, they used commodities such as cowrie shells and other items as money. Metal coins were introduced, followed by paper currency. Today, people also use digital payment methods such as debit cards, credit cards, net banking and UPI.

Q5. What steps might have been taken in ancient times so that Indian coins could become the medium of exchange across countries?

Answer: Ancient rulers could have taken the following steps:

1. They could have made coins of reliable weight and metal quality.
2. They could have maintained a consistent value for their coins.
3. They could have used recognisable symbols on coins.
4. They could have built trade relations with other kingdoms.
5. They could have encouraged merchants in other countries to accept their coins.

These steps would have increased trust in Indian coins and helped international trade.

Q6. Read the lines from the Arthashastra about a salary of 60 panas and a fine of 100 panas. What do they indicate?

Answer: The passage indicates that one pana had economic value because a salary of 60 panas could be compared with a daily quantity of grain.

The fine of 100 panas for failing to help a neighbour was greater than the stated annual salary of 60 panas. This suggests that helping neighbours and supporting social responsibility were considered important values. The fine was intended to discourage people from neglecting their neighbours.

Q7. Write and enact a skit to show how people may have persuaded each other to use cowrie shells as a medium of exchange.

Answer: Sample skit

Farmer: I have brought rice to sell. What can you offer me?

Trader: I have cowrie shells. Many people in our village accept them.

Farmer: Why should I accept shells instead of useful goods?

Trader: You can keep them and use them to buy vegetables, clothes or other goods from different people.

Farmer: Will other sellers accept them too?

Trader: Yes, if our community agrees to use them for exchange.

Farmer: That sounds useful. I will accept these shells for my rice.

Trader: Thank you! Now we can trade more easily.

Conclusion: When many people agree to accept the same item for payment, it can become a commonly used medium of exchange.

Q8. The RBI controls the issue of paper currency in India. What security features help prevent illegal printing and misuse of notes?

Answer: Indian banknotes have security features that help people identify genuine notes and prevent counterfeiting. Examples include:

1. Watermarks.
2. Security threads.
3. Special printing and raised printing on selected features.
4. Micro-lettering.
5. Colour-changing ink on specified denominations.
6. Identification marks and denomination-related features.

The exact features vary by denomination and banknote series. People should check the RBI's official guidance to learn how to identify genuine notes.

Q9. Interview family members and local shopkeepers. Do they prefer cash or UPI? Why?

Answer: Sample response for a school activity

I spoke to a few family members and local shopkeepers. Some preferred UPI because payments are quick and they do not need to carry exact change. Others preferred cash because it is easy to use without a phone or internet connection.

Shopkeepers who accept UPI said that electronic payments can make record-keeping easier. Some people still prefer cash for small purchases or when digital payment services are unavailable.

Conclusion: Both cash and UPI are useful. People's preferences depend on convenience, access to technology and personal needs.

Part 3: Additional Important Exam Questions

A. Very Short Answer Questions (1 mark)

Q1. Who was John Maynard Keynes?

Answer: John Maynard Keynes was a 20th-century economist.

Q2. What is a transaction?

Answer: A transaction is a business activity, especially buying or selling goods or services.

Q3. What is a medium of exchange?

Answer: It is something commonly accepted for buying and selling goods and services.

Q4. Name the traditional fair in Assam where barter is practised.

Answer: Junbeel Mela.

Q5. What does UPI stand for?

Answer: Unified Payments Interface.

Q6. What does RBI stand for?

Answer: Reserve Bank of India.

Q7. Which country first used paper money, according to the chapter?

Answer: China.

Q8. What is the Indian currency symbol?

Answer: ₹

Q9. What is a mint?

Answer: A mint is a facility where coins are manufactured.

Q10. What is the full form of QR?

Answer: Quick Response.

B. Short Answer Questions (2–3 marks)

Q11. Why is money more convenient than barter?

Answer: Money is more convenient because it is commonly accepted, makes it easier to compare prices and avoids the need to find someone who wants exactly what we offer. It also makes saving and purchasing goods easier.

Q12. Why is it difficult to compare the value of goods in barter?

Answer: There is no common unit to measure the value of different goods in barter. People must negotiate how much of one good should be exchanged for another.

Q13. How does money help people save for the future?

Answer: People can save money and use it later to purchase goods and services. This makes money a store of value.

Q14. Why was carrying coins difficult in ancient times?

Answer: Large purchases required many coins. Carrying and safely storing these coins could be difficult, so paper money became a more convenient alternative.

Q15. How did ancient coins help historians understand trade?

Answer: Coins discovered in different regions provide evidence of trade links between kingdoms and countries. Roman coins found in Tamil Nadu, for example, indicate trade connections between southern India and the Roman world.

Q16. Why do people use digital payments today?

Answer: Digital payments are convenient and allow people to transfer money electronically. They can reduce the need to carry cash and provide electronic records of transactions.

C. Long Answer Questions (4–5 marks)

Q17. Explain the five main problems of the barter system with examples.

Answer:

1. Double coincidence of wants: Two people must want each other's goods.
2. Lack of a common measure of value: It is difficult to decide how much wheat equals a pair of shoes.
3. Lack of divisibility: An ox cannot easily be divided to purchase small items.
4. Lack of portability: Carrying large quantities of wheat or cattle is difficult.
5. Lack of durability: Goods such as wheat may spoil during storage.

Money helps overcome these difficulties and makes exchange easier.

Q18. Explain the different stages in the evolution of money.

Answer: The evolution of money took place in several stages.

1. Barter: People directly exchanged goods and services.
2. Commodity money: Items such as cowrie shells, salt and cattle were used for exchange.
3. Metal coins: Coins made from metals such as gold, silver and copper became widely used.
4. Paper currency: Paper notes made money easier to carry and store.
5. Digital money: Modern technology allows electronic payments through cards, net banking, UPI and QR codes.

The evolution of money has made transactions more convenient.

Q19. Explain the four basic functions of money.

Answer:

1. Medium of exchange: Money is used to buy and sell goods and services.
2. Store of value: Money can be saved and used in the future.
3. Common measure of value: Money helps compare the prices of different goods and services.
4. Standard of deferred payment: Money can be used to repay payments at a later date.

These functions make money an important part of economic life.

Q20. Explain the importance of digital payments in modern life.

Answer: Digital payments allow people to transfer money electronically. Methods such as UPI, debit cards, credit cards and net banking make transactions convenient. QR codes allow customers to pay sellers using compatible devices and payment applications. Digital payments can also provide electronic transaction records. However, users must protect their PINs, passwords and OTPs to avoid fraud.

Part 4: Quick Revision Sheet

Term	Simple meaning
Barter system	Exchange of goods without money
Double coincidence of wants	Both people want what the other offers
Divisibility	Ability to divide something into smaller parts
Portability	Ability to carry something easily
Durability	Ability to last without spoiling or getting damaged
Medium of exchange	Something commonly accepted for payments
Store of value	Something that can be saved for future use
Coinage	Use and production of coins as money
Minting	Process of making coins
Currency	Money used in a country
Denomination	Value of a coin or banknote
Digital money	Money used in electronic form
QR code	Code that can be scanned to access information or make payments

Important timeline from the textbook (page 238): The chapter illustrates the broad evolution from barter and commodity money to metal coinage, official paper money, debit and credit cards, and UPI. Remember the sequence rather than treating the timeline as a list of exact dates for every form of money.

Practice Test

Choose one answer for each question.

1. What is the barter system?

Buying with coins

Exchanging goods without money

Saving money in a bank

Paying through UPI

2. What is double coincidence of wants?

Both people want what the other offers

Both people have money

One person sells to many people

A person saves money

3. Which is a function of money?

Making goods spoil

Creating barter difficulties

Acting as a medium of exchange

Preventing all losses

4. What is minting?

Making paper notes

Manufacturing coins

Scanning QR codes

Exchanging clothes

5. Who controls the issue of currency in India?

Every shopkeeper

Every state government independently

Reserve Bank of India

Local markets

6. What is the full form of UPI?

Universal Payment India

Unified Payments Interface

United Price Index

Unique Payment Instrument

7. Why did paper money become useful?

It was heavier than coins

It made carrying and storing money easier

It removed the need for trade

It could never be damaged

8. What does durability mean?

Easy to divide

Easy to carry

Ability to last without spoiling or damage

Ability to compare prices

Check Answers

Exam preparation tip: Learn the definitions, practise the five limitations of barter, remember the four functions of money, and revise the timeline of money. Finally, write the nine textbook answers once in your own handwriting to prepare for the examination.